

Capitalism

Three characteristics:

- System of production and division of labor
- Forms of property ownership
- System of class relations

Economic and Social Elements of Capitalism:

▪ Economic Elements of Capitalism: Commodity

➤ Use Value

- Social Function
- Non-transferable functions
- Means of existence

➤ Exchange Value

- Buying and selling
- Changing social protection
- Private ownership

▪ Non-Economic or Social factors in Capitalist Development

➤ System of Rationality

- Rational commerce
- Rational accounting

➤ System of Law and forms of citizenship

- Rational Law
- Calculable Law

➤ Rise of Rational State

- Formal rules and law
- Legal decline

- Growth of gain spirit
 - Rationalistic
 - Economic Ethics
 - Religious belief as important
 - Free from magic and caste.

Consequences:

- **Elimination of useful distinction.**
- **Elimination of qualitative distinction of labor**
- **Impact on social relations**

Steps of arrival:

- **Representation**
- **Quality representation**
- **Universal ground**
- **Basis of exchange value**
- **Independency**

Class

Karl Marx's Class:

1. Bourgeoisie
2. Proletariat
3. Petty Bourgeoisie

Max Weber's Class:

1. Propertied

- Renters
- Entrepreneurs

2. Non-propertied

- Middle class
- Skilled workers
- Semi- skilled workers
- Unskilled workers

Max Weber: Class, Status, Party:

1. Class: Economic dimension
2. Status: Cultural and social dimension
3. Party: Political dimension

Max Weber's Protestant Ethics and the Sprit of Capitalism

Rationalization

- **Principle of development**
- **Rational containment of everyday life**
- **Use of calculation**
- **Free from magical belief**
- **Principal orientation to empirical reality**
- **Use of technical and procedure reasons**

Protestant Ethics:

- Rejecting monastic asceticism
- Adopting commercial asceticism
- Calling to worldly activity
- Denying magical belief and disruption
- Withdrawal of salvation and self denial

Structural Condition = Sprit of Capitalism= Rational Capitalism

- Process of industrialization
- Rise of free labor
- Free market
- System of calculable law
- Commercialization of economic system

Max Weber Debate with Karl Marx

Characteristics	Karl Marx	Max Weber
Root of capitalism	Commodification of labor	Rationalization
Institutional feature	Commodity production	Rationalization Bureaucracy
Motive	Profit	Maximization of profit
Dynamism of modernity	Capitalism	Rational capitalism
Consequence	Alienation Inequality	Increase
Laws of historical development	Economic laws	Rationalization
Determinants	Economic	Overlapping
Task of theory	Change	Search for task

